

THE BOND MARKET

A Complete Reference: Bonds, the Economy & the Stock Market

① WHAT IS A BOND?

CONCEPT	DEFINITION	REAL WORLD EXAMPLE
Bond	A loan you give to a government or company. They repay you with interest over time.	Lend the U.S. gov't \$1,000 for 10 years at 4.5%. Get \$45/yr, then \$1,000 back.
Coupon Rate	The fixed annual interest rate paid to the bondholder.	5% coupon on a \$1,000 bond = \$50/year in interest payments.
Maturity	The date the borrower repays the original loan (principal).	A 30-year Treasury matures in 2054 — you get your \$1,000 back then.
Face Value / Par	The original value of the bond — what gets repaid at maturity.	Most bonds are issued at \$1,000 face value.
Yield	Your actual return — accounts for what you PAID vs. the fixed coupon.	Buy a \$1,000 bond for \$950 → your yield is higher than the coupon rate.
Duration	How sensitive a bond's price is to rate changes. Longer = more volatile.	A 30-yr bond drops more when rates rise vs. a 2-yr bond.
Spread	Extra yield a corporate bond pays vs. a Treasury. Measures risk premium.	Corp bond yields 6%, Treasury yields 4% → 2% spread = risk premium.

THE CORE RULE: Price & Yield Always Move In Opposite Directions

BOND PRICES FALL → YIELDS RISE → INVESTORS SELLING

BOND PRICES RISE → YIELDS FALL → INVESTORS BUYING

② TYPES OF BONDS

TYPE	ISSUER	RISK	EVERYDAY CONNECTION
T-Bills (< 1 yr)	U.S. Government	Near Zero	Sets floor for savings accounts, money market rates
Treasury Notes (2–10 yr)	U.S. Government	Very Low	Drives mortgage rates, car loans, business lending
Treasury Bonds (20–30 yr)	U.S. Government	Low	Affects pensions, long-term insurance, infrastructure costs
TIPS	U.S. Government	Low	Inflation-protected — tracks real purchasing power
Municipal Bonds	State/City Gov't	Low-Med	Funds roads, schools, hospitals. Often tax-exempt
Investment Grade Corp (LQD)	Blue chip companies	Medium	Funds expansion, R&D, hiring at large companies
High Yield / Junk	Riskier companies	High	Funds startups, leveraged buyouts — higher return/risk
Mortgage-Backed (MBB)	Fannie/Freddie	Med-Low	Directly tied to your home loan interest rate
Hybrid/Subordinated	Corporations	Med-High	Between equity and senior debt in capital structure

③ KEY YIELD BENCHMARKS TO WATCH (Yahoo Finance)

TICKER	NAME	TERM	WHY IT MATTERS
--------	------	------	----------------

^IRX	13-Week T-Bill Yield	3 months	Mirrors the Fed Funds Rate. Pure policy signal — what the Fed is doing RIGHT NOW.
^FVX	5-Year Treasury Yield	5 years	Sensitive to near-term Fed expectations. Reacts first when policy is about to shift.
^TNX	10-Year Treasury Yield	10 years	THE most important number in finance. Discounts all stocks, sets mortgage rates globally.
^TYX	30-Year Treasury Yield	30 years	Long-run inflation/growth expectations. Moves pension, infrastructure, and insurance costs.
TLT (ETF)	iShares 20+ Yr Treasury	20+ years	Most rate-sensitive bond ETF. Falls hardest when yields rise. Key long-term fear barometer.
TIP (ETF)	Treasury Inflation Protected	Varies	Tracks REAL yields (after inflation). Rising TIP yields = tightening real financial conditions.
LQD (ETF)	Investment Grade Corp Bonds	Varies	Widening spread vs. Treasuries = corporate stress. Tightening spread = market confidence.
MBB (ETF)	Mortgage-Backed Securities	Varies	Tied directly to housing market health. Stress here mirrors 2008 crisis dynamics.

④ THE YIELD CURVE — The Market's Crystal Ball

Normal Yield Curve	Flat Yield Curve	Inverted Yield Curve
Long-term yields HIGHER than short-term. Healthy economy. Investors rewarded for lending longer.	Short and long yields roughly equal. Transition signal. Market uncertain about direction.	Short-term yields HIGHER than long-term. Recession warning. Has preceded every U.S. recession since 1955.
■ Growth expected	■ Watch closely	■ Danger signal

Key Inversion to Watch: ^IRX (3-month) vs. ^TNX (10-year). When 3-month yield exceeds 10-year yield = inverted. The market is pricing in rate cuts ahead — often because a slowdown is coming.

⑤ HOW BONDS AFFECT YOUR EVERYDAY LIFE

IF YIELDS RISE (Bonds selling off)...	IF YIELDS FALL (Bonds being bought)...
■ Mortgage rates go UP → fewer home buyers → housing prices soften	■ Mortgage rates go DOWN → housing demand surges → prices rise
■ Car loan rates go UP → monthly payments higher → auto sales slow	■ Car loan rates go DOWN → cheaper financing → auto sales pick up
■ Credit card rates go UP → consumer debt more expensive → spending pulls back	■ Credit card rates DOWN → easier to carry debt → consumer spending rises
■ Business borrowing costs UP → less hiring, less expansion, less R&D	■ Business borrowing costs DOWN → companies invest, hire, and expand
■ Student loan rates UP → education debt burden grows over time	■ Student loan rates DOWN → education becomes more financially accessible
■ Savings account rates UP → cash becomes attractive vs. stocks	■ Savings account rates DOWN → cash loses appeal, money flows into stocks
■ Gov't borrowing costs UP → less fiscal stimulus, more austerity pressure	■ Gov't borrowing costs DOWN → easier for gov't to fund programs and stimulus

⑥ BONDS vs. STOCKS — The Relationship

	BONDS	STOCKS
What you own	A loan (debt instrument)	A share of the company (equity)
Return type	Fixed interest payments (coupon)	Variable — dividends + price appreciation
Risk level	Lower — senior in capital structure	Higher — last to be paid if company fails
Who moves first	■ Bonds — institutional, data-driven money	Follows bonds, often with a delay
Driven by	Interest rates, inflation, Fed policy	Earnings, growth expectations, sentiment, rates
When rates rise	Bond prices FALL	Stocks (esp. growth) FALL — higher discount rate
When rates fall	Bond prices RISE	Stocks often RISE — cheaper money, higher valuations
Safe haven?	Yes — Treasuries surge in panic/crisis	No — stocks sell off in crises
Compete for capital?	At high yields (4-5%+), bonds pull money from stocks	At low yields, stocks are the only game in town (TINA)
Market size	~\$130 trillion globally	~\$45 trillion globally (bonds are 3x larger)

⑦ INFLATION, THE FED & THE RATE CYCLE

• Money printing — More dollars = each worth less • Supply shocks — Less goods, same demand (COVID) • Strong demand — Full employment, high wages • Energy prices — Oil spike raises cost of everything • Fiscal stimulus — Gov't spending pumps money in • Wage-price spiral — Higher wages → higher prices → repeat	1. Inflation rises → Fed hikes interest rates 2. Higher rates → bonds sell off, yields rise 3. Borrowing costs rise → economy slows down 4. Demand falls → inflation cools 5. Economy weakens → Fed cuts rates 6. Cheap money flows back in → economy heats up 7. Inflation can return → cycle restarts
---	---

FED RATE CUT CONTEXT	MARKET READS AS	STOCK REACTION
Cut + strong jobs + cooling inflation	■ Soft landing — goldilocks scenario	Rally
Cut + rising unemployment	■ Panic cut — recession incoming	Sell-off
Gradual, well-telegraphed cuts	■ Controlled — Fed is in command	Rally
Emergency surprise cut	■ Fear — Fed sees hidden crisis	Crash
Cut + market already falling	■ Too late — damage already done	Continued drop

Cut + inflation still high	■ Stagflation risk — worst of both worlds	Volatile / down
----------------------------	---	-----------------

⑧ CREDIT SPREADS — The Fear Gauge

Credit Spread = The extra yield a corporate bond pays vs. a Treasury bond of the same maturity. It is the market's real-time price of risk.

SPREAD BEHAVIOR	WHAT IT SIGNALS	WATCH
Spreads NARROW (shrinking)	Confidence — investors comfortable with corporate risk. Economy healthy.	LQD rising vs. Treasuries
Spreads WIDEN (expanding)	Fear — investors demand more compensation. Stress building in credit.	LQD falling vs. Treasuries
Spreads spike suddenly	Crisis signal — can precede recession, credit crunch, systemic risk.	Watch MBB + LQD together
High yield spreads blow out	Riskiest companies under pressure — defaults, layoffs may follow.	HYG ETF (High Yield Bond)
IG spreads widen + HY stable	Selective stress — large company concerns, not broad market fear.	Dig into sector-specific news

⑨ HOW TO READ THE BOND MARKET DAILY

WHAT YOU SEE	WHAT IT MEANS	WHAT TO WATCH NEXT
^TNX rising sharply	Inflation fears or strong economy pricing in higher rates for longer	Check TIP — is it inflation or real growth driving this?
^TNX falling sharply	Flight to safety OR Fed cut expectations building	Are stocks falling too? If yes = fear trade, not stimulus
^IRX > ^TNX (inversion)	Market expects rate cuts — economy slowing	Watch unemployment data and consumer spending
LQD falling + TNX rising	Double tightening — gov't AND corporate rates rising	High risk for equities, especially growth stocks
TLT falling hard	Long-term rate expectations rising — 20+ yr bonds dumped	Tech/growth stocks will likely follow downward
MBB falling	Mortgage market stress — housing under pressure	Watch homebuilder stocks, consumer discretionary
TIP rising (real yields up)	Real cost of borrowing rising even after inflation adjustment	Most negative signal for all risk assets — watch closely
Spreads narrow + yields fall	Best of both worlds: credit confidence + cheap money	Risk-on environment — equities historically rally here
Stocks up + bonds up	Unusual — means both stimulus AND growth expected	Short-lived typically; one will reverse. Watch closely.

⑩ THE MASTER CHAIN — How It All Connects

Fed Policy → Short-Term Yields (^IRX) → Long-Term Yields (^TNX) → Borrowing Costs → Consumer Spending + Corporate Investment → Corporate Earnings → Stock Valuations → Wealth Effect → Economy → Inflation → Fed Policy (cycle repeats)

PRINCIPLE 1	PRINCIPLE 2	PRINCIPLE 3
Bonds move FIRST. Stocks follow with a lag. Always watch bonds for the preview.	^TNX (10-Year Yield) is the single most important number in all of finance. Everything discounts off it.	Context is everything. The same event (a rate cut) can be bullish OR bearish depending on WHY it's happening.